

20 August 2026

Dear Partners,

This is a brief update on how we are seeing things at present from our vantage point.

Portfolio performance has turned steeply.

We explained what was ailing performance last few years in our January 2026 letter, read [here](#).

We explained then that portfolio companies' prospects were like a "compressed spring". The investments they were making was not reflecting in the earnings. And there was the additional unexpected set back due to tariffs. As the compressed spring recoiled (earnings reverted), stock prices have followed.

We re-emphasize that no investment style works in all environments

However, if one is true to a style through a cycle, the returns will eventually come. For a long-term investor, constantly changing lanes for "what works now" is unlikely to result in good long-term outcomes. And non-linearity of earnings is a feature, not a bug.

However, we can do better.

Some learnings and how our thinking has evolved will be expanded in our next Letter.

- We need to take decisions in the same time horizons we ask of you – rolling 5 years. *In some instances, we have taken very long-term calls when a trigger for a valuation gap to close is not identifiable. What was cheap, has remained cheap.*
- More decisive exits when we disagree with a company's approach. *Attractive valuation is not useful as a reason to stay because Capital allocation errors take longer to fix even when acknowledged by a company.*
- We need to take more advantage of our relatively small size by reducing position sizes if execution is not visible in a certain time frame. *One can always build back later when there is more confidence that earnings will revert.*

Where to from here?

We re-iterate some of the points we have been making

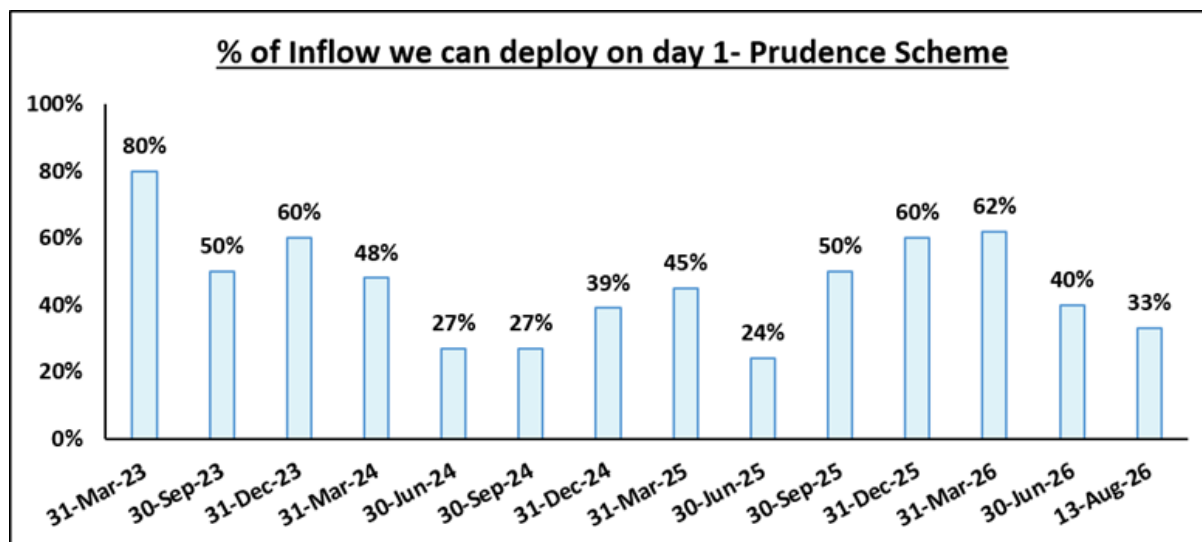
- We are in a low return world, especially in the NIFTY and NSE500. *Repricing of Cost of Capital is underway and its impact is yet to be felt by Equity markets.*
- The best opportunities we are seeing today are in lower Market Cap cos. *The broader indices largely reflect yesterday's champions and do not have enough representation in the most attractive secular growth themes and leaders of tomorrow. Growth rates can absorb the impact of a potential valuation multiple decline and yet deliver good results.*
- Unfortunately, many of these opportunities are in pockets with low liquidity. *One cannot escape the higher risk and volatility associated with this space if you want to participate.*

Implications: cautious optimism and nuance

Q1 result season has been strong for many companies of interest to us. However, very high expectations of future earnings are already reflecting in prevailing prices.

The % we can deploy on Day 1 in PRUDENCE has reduced to ~33% from ~60% at the start of the year. The 33% reflects

- The internal hurdle rates we seek before we initiate a purchase. Valuations today will perhaps lead to at low double digit returns for the NIFTY 500 over the next 5-10 years.
- The lower liquidity in many positions of interest and hence our unwillingness to increase position weights beyond 3-4% in these positions for risk management purposes.



No large deployments, but small top ups welcome

In July 2021, we wrote to you that valuations reflected poor starting points and “we had borrowed returns from the future”. Yet we did not close the tap to capital inflow. That was a huge error. Large sums of uninvested cash affects judgement and leads one to take sub-optimal decisions, especially if the market keeps running away.

Hence, we are not accepting large capital flows at present. We’d rather accept capital only when we can deploy 60% on Day 1.

However, top ups of ~ 10-15% of the Account size at present are welcome at any time. There are always some pockets out of favour and some un-invested cash has a lot of Option value.

Please write to us if you would like to have a conversation and someone from the investment team will be in touch.

With gratitude for your trust and staying the course amidst a tough period.

Pratik

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Anirudh

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